

Human Resource Management - BBA Sem 3 Notes

BBA Semester 3 — Course Code F010302TN — Detailed Notes

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Quick Revision Summary

Unit I: Introduction to Human Resource Management

(BBA Sem 3 — F010302TN — 10 Lectures)

| 1. Evolution of HRM

Human Resource Management did not appear overnight — it evolved through several stages, each shaped by changing economic, social, and industrial conditions. Understanding this evolution helps explain *why* HR is practiced the way it is today.

Stage 1: The Commodity Concept (Pre-Industrial Revolution → early 1900s)

Labor was treated purely as a commodity to be bought and sold in the market, like any raw material. Workers had no rights, no job security, and were paid the bare minimum needed for survival. There was no concept of “employee welfare.”

Stage 2: The Welfare Concept (early 1900s - 1920s)

As factories grew during the Industrial Revolution, poor working conditions led to worker unrest. Social reformers and some progressive employers began providing basic welfare facilities — canteens, restrooms, safety measures — mainly to keep workers healthy enough to be productive, and partly out of genuine social concern. This is where “Welfare Officers” first appeared in organizations.

Stage 3: The Bureaucratic Concept (1920s - 1930s)

Organizations grew larger and more complex. Management adopted formal rules, procedures, and hierarchical structures (based on Max Weber’s bureaucracy theory) to bring order and consistency to how employees were treated, hired, and managed.

Stage 4: The Human Relations Concept (1930s - 1950s)

Triggered largely by the **Hawthorne Studies** (Elton Mayo, at Western Electric’s Hawthorne plant), this stage marked a major shift: researchers discovered that employee productivity was influenced not just by physical working conditions but by *social and psychological factors* — attention, recognition, group belonging. This gave rise to the idea that employees are human beings with emotions and social needs, not just factors of production.

Stage 5: The Behavioral Science Concept (1950s - 1970s)

Building on human relations, this stage incorporated deeper insights from psychology and sociology — Maslow's Hierarchy of Needs, Herzberg's Two-Factor Theory, McGregor's Theory X and Theory Y. Organizations began designing jobs and policies around motivation, leadership, and individual behavior.

Stage 6: The Strategic HRM Concept (1980s - present)

HR moved from being a purely administrative/support function to a **strategic partner** in achieving business objectives. HR is now involved in top-level decision-making — workforce planning is aligned with business strategy, and “people” are viewed as a source of sustainable competitive advantage rather than a cost center.

Exam tip: A common 2-mark or 6-mark question is “Trace the evolution of HRM” — structure your answer as the six stages above, in chronological order, with one line justifying each shift.

| 2. Definition, Objectives, and Scope of HRM

Definition

Human Resource Management can be defined as:

“The process of acquiring, developing, motivating, and retaining human resources (employees) in order to achieve individual, organizational, and societal objectives effectively and efficiently.”

Simplified: HRM is about getting the right people, developing their capability, keeping them motivated, and retaining them — all in service of the organization's goals.

Objectives of HRM

HRM objectives are usually explained under **four broad categories**:

1. **Societal Objectives** — HRM must ensure the organization behaves ethically and responsibly toward society (e.g., complying with labor laws, avoiding discrimination, providing fair wages). This reflects the organization's obligation to the community it operates in.
2. **Organizational Objectives** — HRM exists to help the organization achieve its overall goals — improving efficiency, productivity, and profitability through effective use of human resources. HR is a *means* to organizational effectiveness, not an end in itself.

3. **Functional Objectives** — HRM must maintain the HR department's own contribution at a level appropriate to the organization's needs. For example, over-investing in elaborate HR systems in a small firm would be wasteful; the function must be right-sized.
4. **Personal Objectives** — HRM must help each employee achieve their personal goals (career growth, skill development, job satisfaction), at least to the extent that these goals enhance the individual's contribution to the organization. If personal objectives aren't met, employee performance, commitment, and retention can suffer.

Exam tip: When asked "objectives of HRM," always structure your answer around these four categories — examiners specifically look for this framework.

Scope of HRM

The scope of HRM is broad and covers the entire employee lifecycle:

- **Human Resource Planning** — forecasting future manpower needs
- **Job Analysis** — studying job content, duties, and requirements
- **Recruitment & Selection** — sourcing and choosing the right candidates
- **Training & Development** — building employee skill and capability
- **Performance Appraisal** — evaluating employee contribution
- **Compensation Management** — designing pay, incentives, and benefits
- **Employee Welfare** — providing for employee well-being (health, safety, amenities)
- **Industrial Relations** — managing the employer-employee-union relationship, handling disputes and grievances

Essentially, the scope of HRM spans **procurement → development → compensation → maintenance → integration** of human resources.

| 3. Importance of HRM in Modern Organizations

HRM's importance can be explained across several dimensions:

- **Achieving organizational goals:** Since all organizational activities are ultimately carried out by people, effective HRM directly determines whether strategic goals are achieved.
- **Improving productivity and quality:** Well-trained, well-motivated employees produce more, and produce better. HRM practices like training and performance management directly raise output quality.

- **Facilitating change and adaptability:** Markets, technology, and customer expectations change constantly. HRM prepares the workforce (through training, reskilling, and change management) to adapt rather than resist.
- **Building competitive advantage:** Unlike capital or technology, which competitors can copy, a skilled, motivated, and well-managed workforce is difficult to replicate — making people a genuine source of sustainable competitive advantage.
- **Maintaining industrial peace:** Good HRM practices reduce conflict between management and employees, minimizing strikes, disputes, and turnover, which protects organizational stability.
- **Employee well-being:** HRM safeguards employee interests — fair treatment, safe working conditions, and grievance redressal — which in turn builds trust and loyalty.

4. HRM vs. Personnel Management (High-probability comparison question)

This is one of the most frequently asked comparison questions in HRM papers. Personnel Management (PM) is often viewed as the *predecessor* of HRM — narrower, more administrative, and reactive; HRM is broader, strategic, and proactive.

Basis of Comparison	Personnel Management	Human Resource Management
Approach	Traditional, rule-based, administrative	Strategic, integrated with business goals
Nature	Reactive — responds to problems as they arise	Proactive — anticipates and plans ahead
Focus	Employee administration and satisfaction	Employee development and organizational performance together
Perspective	Micro-level, short-term	Macro-level, long-term
Job Design	Based on division of labor (individual tasks)	Based on teamwork and group-based work
Decision-making	Slow, follows fixed procedures	Fast, flexible, and situation-based
Management Role	Personnel specialists handle “employee issues”	Line managers and HR jointly manage people as strategic assets
View of employees	Cost to be controlled	Asset/investment to be developed
Communication	Indirect, through policy and procedure	Direct, open, two-way

Exam tip: If the question is a 2-marker, pick just 2–3 of the strongest contrasts (nature, focus, perspective). For a 6-marker, use the full table with brief one-line explanations under each point.

| 5. Role and Responsibilities of HR Managers

HR Managers perform several distinct **roles**:

1. **Advisory Role** — Acts as a consultant to top management and department heads on people-related matters (recruitment strategy, disciplinary action, policy design).
2. **Policy-making Role** — Formulates HR policies (leave policy, code of conduct, promotion criteria) that guide consistent decision-making across the organization.
3. **Welfare Role** — Ensures employee well-being through health, safety, and welfare amenities (this traces back to HRM's welfare-concept origins).
4. **Mediator Role** — Acts as a bridge between management and employees, resolving conflicts and misunderstandings before they escalate.
5. **Strategic Partner Role** — Participates in top-level strategic planning, ensuring the organization's workforce capability aligns with its long-term business direction.

Key Responsibilities (the day-to-day functional duties): -

Manpower/workforce planning - Recruitment and selection of employees - Organizing training and development programs - Designing and administering wage/salary structures - Handling employee grievances and disciplinary matters - Ensuring legal compliance (labor laws, safety regulations) - Maintaining employee records and HR information systems

| 6. Competencies Required for HR Managers

Modern HR managers need a mix of technical, interpersonal, and strategic competencies:

- **Business Acumen** — Understanding the organization's industry, finances, and strategy well enough to align HR decisions with business needs.
- **Communication Skills** — Since HR constantly interacts with employees, management, and external stakeholders, clear and empathetic communication is essential.
- **Ethical Practice** — Maintaining confidentiality, fairness, and integrity, especially in sensitive matters like grievances, terminations, and compensation.
- **HR Technology Proficiency** — Comfort with HRIS (HR Information Systems), applicant tracking systems, and HR analytics tools, which are now central to modern HR work.
- **Critical Evaluation** — Ability to use data and metrics (e.g., attrition rate, cost-per-hire) to make evidence-based HR decisions rather than relying purely on intuition.
- **Leadership & Navigation** — Ability to lead HR initiatives and

navigate organizational politics/structure to implement change effectively.

7. Changing Role of HR in the Era of Globalization and Digital Transformation

This is an important, exam-favorite “current trends” topic — examiners like testing awareness of how HR is evolving today.

Impact of Globalization

- **Cross-cultural management:** HR must manage diverse, multicultural workforces across countries, requiring sensitivity to cultural differences in communication, motivation, and work norms.
- **Global talent mobility:** Organizations now recruit talent globally and manage expatriate assignments, international transfers, and cross-border compliance.
- **Global compensation and compliance:** HR must navigate varying labor laws, tax structures, and compensation norms across different countries.

Impact of Digital Transformation

- **HR Analytics:** Using data to predict attrition, measure engagement, and support evidence-based decision-making (a shift from “gut-feel” HR to data-driven HR).
- **Artificial Intelligence in Recruitment:** Use of **Applicant Tracking Systems (ATS)** and AI tools to screen resumes, shortlist candidates, and even conduct initial interview analysis — increasing recruitment speed and reducing bias (though raising new concerns about algorithmic fairness).
- **Remote and Hybrid Workforce Management:** HR now designs policies for managing productivity, engagement, and culture for employees who aren’t physically present in the office.
- **HRIS / e-HR:** Digital platforms now handle payroll, leave management, performance tracking, and employee self-service — reducing paperwork and improving efficiency.
- **Digital Onboarding:** New employees are onboarded remotely through e-learning modules, virtual orientation, and digital documentation.

Exam tip: For a 6-mark question on this topic, structure your answer as two clear sub-heads — “Impact of Globalization” and “Impact of Digital Transformation” — with 3 points each, as above.

Quick Revision Summary (for last-minute review)

Topic	One-line takeaway
Evolution of HRM	Commodity → Welfare → Bureaucratic → Human Relations → Behavioral Science → Strategic HRM
Definition	Acquiring, developing, motivating, retaining people for organizational goals
Objectives	Societal, Organizational, Functional, Personal
Scope	Planning → Job Analysis → Recruitment/Selection → T&D → Appraisal → Compensation → Welfare → IR
HRM vs PM	PM = administrative/reactive; HRM = strategic/proactive
HR Manager's roles	Advisor, Policy-maker, Welfare officer, Mediator, Strategic partner
Competencies	Business acumen, communication, ethics, tech proficiency, analytics, leadership
Changing role	Globalization (cross-cultural, global mobility) + Digital transformation (analytics, AI, HRIS, hybrid work)

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Unit II: Talent Acquisition (Procurement)

(BBA Sem 3 — F010302TN — 12 Lectures)

| 1. Concept of Human Resource Planning (HRP)

Concept

Human Resource Planning is the process by which an organization ensures it has the **right number and right kind of people, at the right time and place**, capable of effectively completing tasks that help the organization achieve its overall objectives. It is essentially a bridge between the organization's business strategy and its people strategy — without HRP, recruitment becomes reactive and haphazard rather than planned.

HRP answers three fundamental questions: - How many people do we need? - What skills/qualifications should they have? - When and where will we need them?

The HRP Process (sequential steps)

1. **Environmental Scanning** — Analyzing external factors (economic conditions, labor market, technology trends, government policy, competition) that could affect future manpower needs.
2. **Forecasting Demand for Human Resources** — Estimating how many employees, and with what skills, the organization will need in the future, based on business plans, expansion, or downsizing.
3. **Forecasting Supply of Human Resources** — Estimating the availability of manpower, both from within the organization (internal supply — via skills inventories, promotions) and outside (external supply — labor market conditions).
4. **Gap Analysis** — Comparing demand forecast with supply forecast to identify:
 - **Surplus** (more people than needed → may require redeployment, layoffs, or freeze on hiring)
 - **Deficit** (fewer people than needed → requires recruitment, training, or outsourcing)
5. **Action Planning** — Developing specific HR programs — recruitment plans, training programs, redeployment/retirement plans — to close the gap identified above.

6. **Monitoring, Control, and Feedback** — Continuously tracking whether HR plans are being implemented effectively and adjusting them as business conditions change.

Exam tip: For a 6-mark question on “HRP process,” write each of the 6 steps above as a numbered list with one line of explanation each — examiners specifically look for the step-by-step sequence.

Factors Affecting Human Resource Planning

- **Organizational growth plans** — Expansion, diversification, or new projects increase future manpower demand; downsizing reduces it.
 - **Technology changes** — Automation or new technology can reduce demand for certain skills while increasing demand for others (e.g., digital skills).
 - **Labor market conditions** — Availability of skilled labor in the market affects how easily an organization can meet its manpower needs.
 - **Government policies and labor laws** — Regulations on hiring, retrenchment, reservation policies, and minimum wage affect planning decisions.
 - **Attrition rate** — A high employee turnover rate means the organization must plan for continuous replacement hiring.
 - **Nature of the job/industry** — Seasonal industries (e.g., agriculture-based businesses) require different HRP approaches than continuous-process industries.
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2. Forecasting Demand and Supply of Human Resources

Demand Forecasting Techniques

These are methods used to estimate *how many and what type of employees* will be needed in the future.

- **Managerial Judgment (Expert Estimate)** — Experienced managers/supervisors estimate future staffing needs based on their knowledge of workload and business plans. Simple but somewhat subjective.
- **Work-Study Technique** — Based on detailed analysis of the time and work-motion required to complete a task, used to calculate the number of workers needed for a given output level (common in manufacturing).
- **Delphi Technique** — A panel of experts independently gives forecasts (anonymously) through several rounds of questionnaires; responses are consolidated and shared back until a consensus emerges. Useful when historical data is unavailable.
- **Ratio-Trend Analysis** — Studies past ratios (e.g., ratio of number

of workers to sales volume, or supervisors to workers) and projects them forward, assuming the ratio will hold in the future.

Supply Forecasting

This estimates the *availability* of people to meet the forecasted demand.

- **Internal Supply Analysis** — Uses tools like:
 - **Skills inventory** — A database of existing employees' skills, qualifications, and experience, used to identify who can be promoted or redeployed internally.
 - **Succession planning** — Identifying and preparing internal candidates for key future positions.
 - **External Supply Analysis** — Studying the labor market — availability of skilled graduates, competitor hiring trends, unemployment rates, and migration patterns — to judge how easily the organization can hire from outside.
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| 3. Job Analysis

Concept

Job Analysis is the **systematic process of collecting, analyzing, and documenting information about a job** — its duties, responsibilities, working conditions, and the skills/qualifications needed to perform it. It forms the foundation for almost every other HR activity: recruitment, selection, training, performance appraisal, and compensation all rely on accurate job analysis.

Methods of Job Analysis

- **Observation Method** — The job analyst directly observes an employee performing the job and records the tasks, tools used, and time taken. Works well for manual/repetitive jobs but less suitable for jobs involving significant mental effort.
- **Interview Method** — The analyst interviews the job holder (and sometimes the supervisor) to gather detailed information about duties and responsibilities. Allows for clarification but can be time-consuming and subject to bias.
- **Questionnaire Method** — A structured questionnaire is given to job holders to describe their duties, responsibilities, and skills required. Useful for collecting information from a large number of employees efficiently.
- **Diary/Log Method** — Employees maintain a daily log/diary recording tasks performed and time spent on each, providing a detailed, first-hand account of the job over a period.

Exam tip: Job Analysis has two key outputs — **Job Description** and **Job Specification** (covered next). This link is a very common 2-mark question: “What are the outcomes of job analysis?”

| 4. Job Description (JD) and Job Specification (JS)

These are the two documents produced as outputs of job analysis, but they serve very different purposes.

Job Description (JD)

A written statement describing **what the job entails** — the duties, tasks, responsibilities, and working conditions associated with a specific position. It is **job-oriented** (focused on the job itself, not the person).

Typical contents of a JD: - Job title - Department/reporting relationships - Summary of duties and responsibilities - Working conditions - Tools/equipment used

Job Specification (JS)

A written statement describing **the minimum qualifications and characteristics a person must possess** to perform the job successfully. It is **person-oriented** (focused on the ideal candidate).

Typical contents of a JS: - Educational qualifications required - Experience required - Skills and competencies needed - Physical and mental attributes required

Comparison Table

Basis	Job Description (JD)	Job Specification (JS)
Focus	The job itself	The person needed for the job
Orientation	Job-oriented	Person/candidate-oriented
Content	Duties, responsibilities, working conditions	Qualifications, skills, experience, attributes
Purpose	Helps understand what the job requires	Helps identify who is fit for the job

Exam tip: This JD vs JS comparison is a very frequently asked 2-mark question — memorize this table exactly.

| 5. Recruitment

Meaning

Recruitment is the **process of searching for and attracting potential candidates** in sufficient numbers and quality, so that the organization can select the most suitable ones to fill vacant positions. It is a *positive* process — the goal is to generate a pool of qualified applicants, not to make the final hiring decision (that is done in Selection).

Factors Affecting Recruitment

Internal Factors (within the organization's control): - HR policy of the organization (e.g., preference for internal promotion vs. external hiring) - Size of the organization (larger organizations often have more structured recruitment processes) - Image/reputation of the organization in the job market - Cost considerations of recruitment - Growth and expansion plans

External Factors (outside the organization's control): - Labor market conditions (availability of skilled candidates) - Legal and political considerations (labor laws, reservation policies) - Competitors' recruitment and compensation practices - Unemployment rate in the economy - Demographic factors (age, gender composition of available workforce)

Sources of Recruitment

Internal Sources (filling vacancies from within the organization): - **Promotions** — Moving an existing employee to a higher position - **Transfers** — Moving an employee to a different department/location at a similar level - **Employee referrals** — Current employees recommend candidates from their network

Advantages of internal sources: Boosts employee morale, saves recruitment cost, candidates are already familiar with organizational culture. *Disadvantages:* Limits the inflow of new ideas/talent, may cause internal politics among competing candidates.

External Sources (filling vacancies from outside the organization): - **Campus recruitment** — Hiring directly from colleges/universities - **Employment exchanges** — Government-run job placement centers - **Advertisements** — Newspaper, online, or social media job postings - **Placement/recruitment agencies** — Third-party firms that source candidates - **Online job portals** — Platforms like Naukri, LinkedIn, Indeed

Advantages of external sources: Brings fresh talent and new ideas, wider pool of candidates. *Disadvantages:* Higher recruitment cost, longer induction/settling-in time, may demotivate internal employees expecting promotion.

Exam tip: A 6-mark question often asks “Discuss the sources of recruitment” — structure your answer using the Internal vs. External framework above, with 2–3 examples and one advantage/disadvantage for each category.

| 6. Selection

The Selection Process

Selection is the process of **choosing the most suitable candidate(s)** from the pool of applicants generated through recruitment. Unlike recruitment (which is a positive, inviting process), selection is a *negative* process in the sense that it involves rejecting unsuitable candidates at each stage.

Typical steps in the selection process (sequential funnel):

1. **Application Screening** — Initial review of applications/resumes to shortlist candidates who meet basic eligibility criteria.
2. **Preliminary Interview** — A brief screening interview to filter out clearly unsuitable candidates before investing further time.
3. **Employment/Selection Tests** — Written or online tests to assess aptitude, skills, or personality (see below).
4. **Employment Interview** — A more detailed, in-depth interview to assess the candidate’s suitability, communication skills, and cultural fit.
5. **Reference and Background Check** — Verifying the candidate’s claims by contacting previous employers or references.
6. **Medical Examination** — Assessing the candidate’s physical fitness for the job, especially relevant for physically demanding roles.
7. **Final Selection Decision** — The hiring manager/HR makes the final call on whom to hire.
8. **Job Offer** — A formal offer letter is extended to the selected candidate, specifying terms of employment.

Types of Selection Tests

- **Aptitude Tests** — Measure a candidate’s potential/capacity to learn or perform a specific type of job (e.g., numerical aptitude, verbal aptitude, mechanical aptitude).
- **Personality Tests** — Assess personal traits such as emotional stability, extroversion, and interpersonal style, to judge fit with the job/organizational culture.
- **Situational Judgment Tests** — Present candidates with hypothetical work-related scenarios and ask how they would respond, testing practical decision-making and problem-solving skills.
- **Intelligence Tests** — Measure general mental ability, reasoning,

and problem-solving capacity.

Interviewing Techniques

- **Structured Interview** — A fixed, pre-decided set of questions asked identically to all candidates, allowing for consistent comparison.
- **Unstructured Interview** — An open-ended, conversational interview without a fixed question format — flexible but harder to compare across candidates.
- **Panel Interview** — Conducted by multiple interviewers simultaneously, allowing for varied perspectives on the same candidate.
- **Stress Interview** — Deliberately puts the candidate under pressure (through rapid or challenging questions) to assess how they handle stress — used mainly for high-pressure roles.
- **Behavioral Interview** — Based on the premise that past behavior predicts future behavior; candidates are asked to describe how they handled specific past situations (e.g., “Tell me about a time you resolved a conflict at work”).

Exam tip: For a 6-mark question on “the selection process,” list all 8 steps above in sequence — this is the single most testable list in this unit.

Recruitment vs. Selection — Quick Comparison (bonus, commonly confused)

Basis	Recruitment	Selection
Nature	Positive process (inviting more applicants)	Negative process (rejecting unsuitable candidates)
Objective	To create a large pool of applicants	To choose the best-fit candidate(s) from the pool
Sequence	Comes first	Comes after recruitment
Outcome	Applications	Job offer to selected candidate(s)

Quick Revision Summary

Topic	One-line takeaway
HRP	Ensures right people, right number, right time — via demand-supply gap analysis
HRP process	Scan environment → forecast demand → forecast supply → gap analysis → action plan → monitor
Demand forecasting	Managerial judgment, work-study, Delphi, ratio-trend analysis
Job Analysis	Systematic study of a job’s duties and

	requirements — via observation, interview, questionnaire, diary
JD vs JS	JD = about the job; JS = about the person needed
Recruitment	Positive process of attracting a pool of candidates
Recruitment sources	Internal (promotion, transfer, referral) vs External (campus, exchanges, ads, agencies, portals)
Selection	Negative/filtering process to choose the best candidate
Selection steps	Screening → prelim interview → tests → interview → reference check → medical → decision → offer
Selection tests	Aptitude, personality, situational judgment, intelligence
Interview types	Structured, unstructured, panel, stress, behavioral

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Unit III: Development & Performance Management

(BBA Sem 3 — F010302TN — 12 Lectures)

| 1. Training & Development

Need and Importance

Training refers to a planned effort to help employees acquire the knowledge, skills, and abilities needed to perform their current job better. Development is broader — it prepares employees for future roles and long-term growth. Together, Training & Development (T&D) is one of the most critical HR functions because employee capability directly determines organizational performance.

Why T&D is needed:

- **Bridges skill gaps** — New employees often lack job-specific skills; even experienced employees need updates as technology, processes, and job requirements change.
- **Improves productivity** — Trained employees work more efficiently, make fewer errors, and require less supervision.
- **Reduces supervision cost** — Well-trained employees can work independently, freeing up managerial time.
- **Improves morale and reduces turnover** — Employees who feel invested in (through training) tend to be more satisfied and loyal, reducing attrition.
- **Prepares employees for change** — Helps the workforce adapt to new technology, processes, or organizational restructuring.
- **Supports career growth** — Development programs prepare employees for future roles and promotions, aiding succession planning.

Identifying Training Needs — Training Needs Analysis (TNA)

Before designing any training program, an organization must identify exactly *what* training is needed, *for whom*, and *why*. This is done through a three-level analysis:

1. **Organizational Analysis** — Looks at the organization as a whole: Are business goals being met? Where are the overall performance gaps? This level identifies training needs arising from organizational strategy, structure, or climate.
2. **Task Analysis** — Examines the specific job/task: What knowledge, skills, and standards does a particular job require? This helps define exactly what content the training program should cover.

3. **Person Analysis** — Looks at the individual employee: Who needs training, and what specific gap exists between their current performance and the required performance standard? This can be identified via performance appraisal records, supervisor feedback, or self-assessment.

Exam tip: “Explain the process of identifying training needs” is a common 6-mark question — always structure the answer using this 3-level TNA framework (Organization → Task → Person).

| 2. Methods of Training

Training methods are broadly divided into two categories based on *where* the training takes place.

On-the-Job Training (OJT)

Training conducted at the actual workplace, while the employee continues performing regular duties.

- **Job Rotation** — Employees are systematically moved across different jobs/departments to broaden their skills and understanding of the organization.
- **Coaching** — A senior/experienced employee (usually the supervisor) guides and gives regular feedback to a junior employee on how to perform the job better.
- **Mentoring** — A more experienced employee (mentor) provides long-term guidance, career advice, and support to a less experienced employee (mentee) — broader in scope than coaching, often covering career development, not just task performance.
- **Apprenticeship** — A structured, long-duration program (common in skilled trades) combining hands-on work experience with instruction, typically leading to a certified qualification.

Advantages of OJT: Cost-effective, immediately practical, no separate training facility needed. *Disadvantages:* Can disrupt regular work, quality depends heavily on the trainer’s own competence.

Off-the-Job Training

Training conducted away from the actual workplace, in a separate environment.

- **Lectures** — Formal, instructor-led classroom sessions to convey conceptual knowledge to a large group.
- **Case Studies** — Trainees analyze real or hypothetical business situations and propose solutions, developing analytical and decision-making skills.
- **Role Play** — Trainees act out real-life work scenarios (e.g., handling a difficult customer) to practice interpersonal and

problem-solving skills in a safe environment.

- **Simulation** — Trainees practice on a replicated version of real equipment/situations (e.g., flight simulators, business simulation games) without the risk of real-world consequences.
- **Vestibule Training** — A separate area (a “vestibule”) is set up near the actual workplace, equipped with the same machines/tools used on the job, allowing trainees to practice without disrupting actual production.

Advantages of off-the-job training: Focused learning environment, no disruption to regular work, can cover conceptual/theoretical content well. *Disadvantages:* Costlier, and skills learned may not always transfer perfectly to the real job situation.

Comparison Table

Basis	On-the-Job Training	Off-the-Job Training
Location	At the actual workplace	Away from the actual workplace
Cost	Generally lower	Generally higher
Disruption to work	Higher (trainee still working)	Lower (separate from daily work)
Examples	Job rotation, coaching, mentoring, apprenticeship	Lectures, case study, role play, simulation, vestibule training

Exam tip: This OJT vs. off-the-job comparison, with 2 examples of each, is a frequent 2-mark or 6-mark question.

3. Evaluating Training Effectiveness

Simply conducting training isn’t enough — organizations need to measure whether it actually worked. The most widely used framework for this is:

Kirkpatrick’s Four-Level Training Evaluation Model

1. **Level 1 - Reaction:** Measures how participants *felt* about the training — Did they find it engaging, relevant, and useful? Usually assessed through feedback forms/surveys immediately after training.
2. **Level 2 - Learning:** Measures the actual increase in knowledge or skill as a result of the training — typically assessed through pre-training and post-training tests.
3. **Level 3 - Behavior:** Measures whether the trainee is actually *applying* what they learned back on the job — assessed through on-the-job observation, usually a few weeks/months after training.

4. **Level 4 - Results:** Measures the broader organizational impact of the training — e.g., increased productivity, reduced errors, higher sales, improved quality — tying the training back to business outcomes.

Additional evaluation approaches: - **ROI (Return on Investment) of Training** — Compares the monetary benefits gained from training against its cost. - **Pre-test/Post-test Comparison** — Measuring performance or knowledge before and after training to quantify improvement.

Exam tip: Kirkpatrick's model is a classic 6-mark question — always list all 4 levels in order (Reaction → Learning → Behavior → Results) with one line of explanation each.

| 4. Performance Appraisal

Concept and Objectives

Performance Appraisal (PA) is the **systematic process of evaluating an employee's job performance** against pre-set standards, typically conducted periodically (e.g., annually or half-yearly).

Objectives of Performance Appraisal: - To provide a basis for **promotion, increment, and reward decisions** - To **identify training and development needs** based on performance gaps - To give employees **structured feedback** on their strengths and areas for improvement - To **validate the selection process** — checking whether the people hired/selected are actually performing well, which reflects on the quality of past recruitment/selection decisions - To improve **communication** between managers and employees - To support **succession planning and career development** decisions

Traditional vs. Modern Methods of Performance Appraisal

Traditional Methods: - **Ranking Method** — Employees are ranked from best to worst performer based on overall performance; simple but doesn't specify by how much employees differ. - **Graphic Rating Scale** — Employees are rated on a scale (e.g., 1–5) against various traits (quality of work, punctuality, cooperation). - **Checklist Method** — Evaluators answer a series of yes/no or descriptive statements about employee behavior/performance. - **Confidential Reports** — Traditional government/PSU practice where the supervisor writes a confidential assessment of the employee, often without direct employee input or feedback.

Modern Methods:

- **Management by Objectives (MBO)** — A goal-setting approach where the manager and employee jointly define specific, measurable objectives at the start of the appraisal period. At the end of the period, performance is evaluated against these agreed objectives, not vague traits. This method emphasizes participation, clarity, and results-orientation.
- **360-Degree Appraisal** — Performance feedback is collected from *multiple sources* around the employee: supervisors, peers, subordinates, the employee themselves (self-appraisal), and sometimes even customers. This gives a holistic, well-rounded view of performance rather than relying on a single supervisor’s opinion.
- **Behaviorally Anchored Rating Scales (BARS)** — Combines the numerical rating scale approach with specific, descriptive behavioral examples for each rating point. For instance, instead of just rating “communication skills: 4/5,” BARS would describe what behavior corresponds to each rating level (e.g., “Consistently explains complex ideas clearly to the team” = high rating). This reduces subjectivity compared to a plain graphic rating scale.

Comparison Table

Basis	Traditional Methods	Modern Methods
Approach	Trait-based, subjective	Goal/behavior-based, more objective
Employee involvement	Minimal	High (especially in MBO, 360-degree)
Feedback sources	Usually just the supervisor	Multiple sources (360-degree)
Examples	Ranking, graphic rating scale, checklist, confidential reports	MBO, 360-degree appraisal, BARS

Exam tip: MBO, 360-degree, and BARS are individually very common 2-mark “explain the concept” questions — make sure you can define each in 2-3 lines independently, not just as part of the comparison.

5. Common Biases in Performance Evaluation

Because performance appraisal ultimately involves human judgment, it is prone to several systematic biases that HR professionals must be aware of and try to minimize:

- **Halo Effect** — When an evaluator’s overall positive impression of an employee in *one* area (e.g., punctuality) unfairly influences the rating given in *unrelated* areas (e.g., technical skill), inflating the overall score.

- **Horn Effect** — The opposite of the halo effect: a single negative trait or incident unfairly drags down the evaluator’s perception of the employee’s overall performance.
- **Central Tendency** — The tendency of evaluators to rate most employees as “average,” avoiding both very high and very low ratings — often out of reluctance to justify extreme scores or to avoid conflict.
- **Leniency Bias / Strictness Bias** — Some evaluators consistently rate employees higher than deserved (leniency), while others consistently rate them lower than deserved (strictness), regardless of actual performance — making comparisons across evaluators unreliable.
- **Recency Effect** — Evaluators give undue weight to the employee’s *most recent* performance/behavior (e.g., the last few weeks before the appraisal), while ignoring performance over the rest of the appraisal period.
- **Stereotyping** — Judging an employee’s performance based on generalized assumptions about a group they belong to (e.g., gender, age, department) rather than their actual individual performance.

Exam tip: For a 6-mark question on appraisal biases, list all six with a one-line definition each — this is a very direct, list-based question type.

Quick Revision Summary

Topic	One-line takeaway
T&D need	Bridges skill gaps, boosts productivity, prepares for change and career growth
TNA levels	Organizational analysis → Task analysis → Person analysis
OJT methods	Job rotation, coaching, mentoring, apprenticeship
Off-the-job methods	Lectures, case study, role play, simulation, vestibule training
Kirkpatrick’s model	Reaction → Learning → Behavior → Results
PA objectives	Promotion decisions, training needs, feedback, validating selection
Traditional PA methods	Ranking, graphic rating scale, checklist, confidential reports
Modern PA methods	MBO, 360-degree appraisal, BARS
MBO	Joint goal-setting between manager and employee, evaluated against agreed objectives
360-degree	Feedback from supervisors, peers, subordinates, self, customers

BARS	Rating scale anchored with specific behavioral descriptions
Common biases	Halo, horn, central tendency, leniency/strictness, recency, stereotyping

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Unit IV: Compensation, Employee Welfare, & Industrial Relations

(BBA Sem 3 — F010302TN — 11 Lectures)

| 1. Career Planning & Development

Concept of Career Stages

A career is the sequence of jobs and roles an individual occupies over their working life. Career development theory typically divides this journey into distinct stages, each with different needs and challenges:

1. **Exploration Stage** (roughly early 20s) — The individual is still discovering their interests, abilities, and values, often trying out different roles or industries before settling into a career direction.
2. **Establishment Stage** (roughly mid-20s to mid-30s) — The individual has chosen a career path and focuses on building competence, gaining experience, and establishing themselves as a credible professional.
3. **Mid-Career Stage** (roughly mid-30s to 50s) — The individual is often at peak productivity, taking on greater responsibility, and may either continue growing or plateau. This stage can also involve a “mid-career crisis” — reassessing whether the current path still aligns with personal goals.
4. **Late-Career Stage** (roughly 50s onward) — The individual often shifts from being a producer to a mentor, focusing on sharing expertise, sustaining performance, and starting to prepare for the transition out of active work.
5. **Decline/Disengagement Stage** — The final stage, where the individual gradually reduces work involvement, prepares for retirement, and transfers accumulated knowledge to successors.

Succession Planning

Succession planning is the process of **identifying and systematically developing internal talent** to fill key leadership or critical positions in the future, ensuring the organization doesn't face a leadership vacuum when someone retires, resigns, or is promoted. It typically involves identifying high-potential employees early and providing them with targeted development (stretch assignments, mentoring, training) to prepare them for future roles.

Individual vs. Organizational Career Management

Basis	Individual Career Management	Organizational Career Management
Who drives it	The employee themselves	The organization (HR department)
Focus	Personal goals, self-assessment, skill-building	Meeting future talent/leadership needs of the organization
Tools used	Self-assessment, networking, personal upskilling	Succession planning, training programs, mentoring, career ladders
Outcome	Personal career satisfaction and growth	Ensuring a steady pipeline of capable talent for the organization

Exam tip: Career stages (5-stage model) is a common 6-mark list-based question; individual vs. organizational career management is a strong 2-mark comparison question.

2. Job Evaluation

Concept

Job Evaluation is the **systematic process of determining the relative worth of different jobs within an organization**, in order to establish a fair and rational pay structure. Importantly, job evaluation assesses the *value of the job itself* — not the performance of the person currently holding it. It answers the question: “Which jobs should be paid more than others, and by how much?”

Objectives of Job Evaluation

- To establish a **fair and equitable wage structure** across different jobs
- To reduce wage-related grievances and disputes by having objective, transparent criteria
- To provide a rational basis for determining pay differentials between jobs

Methods of Job Evaluation

- **Ranking Method** — The simplest method; jobs are compared as a whole and ranked from highest to lowest in terms of overall worth/importance to the organization. Easy to use in small organizations but becomes impractical as the number of jobs grows, and it doesn’t indicate *how much* more valuable one job is than another.
- **Job Classification (Grading) Method** — Jobs are grouped into predefined grades or classes (e.g., Grade I, II, III), each with a description of the type of work and responsibility expected. Each

job is then slotted into the grade that best matches its requirements. Commonly used in government and large organizations.

- **Point Method** — Jobs are broken down into compensable factors (e.g., skill, effort, responsibility, working conditions), and points are assigned to each factor based on its degree/importance. The total points determine the job's relative worth and, consequently, its pay grade. This is considered one of the most objective and widely used methods.
- **Factor Comparison Method** — A more complex method where select "key jobs" (whose pay rates are already considered fair) are used as benchmarks. Other jobs are then compared against these key jobs on the same compensable factors (skill, effort, responsibility, working conditions) to determine their relative pay.

Exam tip: Point method and ranking method are the most commonly tested for definitions; a 6-mark question may ask you to "explain any four methods of job evaluation" — use the four above.

3. Employee Compensation — Objectives and Components

Objectives of Compensation Management

- **Internal Equity** — Ensuring employees within the organization feel fairly paid relative to others doing similar or comparable work.
- **External Equity** — Ensuring the organization's pay levels are competitive compared to what other organizations in the same industry/market pay for similar roles.
- **Attracting and Retaining Talent** — A well-structured compensation system helps the organization attract capable candidates and reduces turnover of existing high-performing employees.
- **Motivating Performance** — Compensation, especially the incentive component, should encourage employees to perform better and align their efforts with organizational goals.
- **Legal Compliance** — Compensation systems must comply with statutory requirements (e.g., Minimum Wages Act).

Components of Employee Compensation

1. **Base Pay (Basic Salary)** — The fixed, guaranteed component of pay an employee receives regardless of performance, usually determined by the employee's role, grade, and experience. It forms the foundation on which other pay components (allowances, PF contributions) are often calculated.

2. **Incentives** — Variable, performance-linked pay meant to reward and motivate employees for achieving specific results (e.g., sales commissions, productivity bonuses, profit-sharing). Unlike base pay, incentives fluctuate based on individual, team, or organizational performance.
3. **Fringe Benefits** — Non-cash or indirect benefits provided in addition to direct pay, such as:
 - Health insurance
 - Provident Fund (retirement savings)
 - Paid leave (annual leave, sick leave)
 - Other perks (company vehicle, subsidized meals, housing allowance)

Fringe benefits improve employee security and quality of life, and are often a significant factor in an employee's overall satisfaction, even though they aren't part of the direct cash salary.

Exam tip: "Components of compensation" is a classic 2-mark or 6-mark question — always mention all three (base pay, incentives, fringe benefits) with one example of each.

4. Wage Policy, Wage Determination, and Wage Board

Wage Policy

Wage policy refers to the **guiding principles and framework an organization (or government) follows for fixing, revising, and administering wages**. A sound wage policy aims to be fair, motivating, competitive, and legally compliant, while also being financially sustainable for the organization.

Theories of Wage Determination

- **Subsistence Theory (Iron Law of Wages)** — Proposed by David Ricardo; argues that wages tend to settle at the minimum level required for workers to merely subsist (survive) and maintain their families, since if wages rise above subsistence, population/labor supply increases, pushing wages back down.
- **Wage Fund Theory** — Proposed by Adam Smith/J.S. Mill; suggests that at any given time, there is a fixed "fund" of capital set aside by employers for paying wages. The average wage rate is determined by dividing this fund by the number of workers — implying that wages can only rise if the fund grows or the workforce shrinks.

- **Bargaining Theory of Wages** — Proposed by John Davidson; argues that wages are not fixed purely by economic laws but are determined through the **relative bargaining power** of employers and employees (often through unions), influenced by factors like labor supply, employer's ability to pay, and the strength of negotiation on either side.

Wage Board

A Wage Board is a **tripartite body** — comprising representatives from the government, employers, and employees (usually through trade unions) — set up to study and recommend wage structures for a specific industry (e.g., the textile industry, journalism/press industry in India). Wage Boards aim to ensure wages are fixed through balanced representation of all stakeholders rather than unilaterally by employers.

Factors Influencing Wage and Salary Administration

- **Demand and supply of labor** — Scarce, specialized skills command higher wages; abundant, unskilled labor tends to command lower wages.
- **Cost of living** — Wages need periodic adjustment (e.g., Dearness Allowance in India) to keep pace with inflation and rising living costs.
- **Organization's ability to pay** — A financially strong organization can afford to pay higher wages; a struggling one may need to limit pay increases.
- **Prevailing wage rates in the industry** — Organizations generally benchmark their pay against what competitors in the same industry are paying, to remain competitive.
- **Government legislation** — Laws like the Minimum Wages Act set a statutory floor below which wages cannot legally fall.
- **Productivity** — Higher employee/organizational productivity often justifies and supports higher wage levels.

Exam tip: The three wage theories (subsistence, wage fund, bargaining) are a strong 6-mark “explain the theories of wage determination” question — name each theory, its proponent, and one line of core logic.

| 5. Industrial Relations (IR)

Concept and Importance

Industrial Relations refers to the **relationship between employers, employees, and the government**, encompassing all interactions related to employment — including negotiations, agreements, disputes, and the overall work environment. Good IR is essential

because: - It ensures **industrial peace**, reducing the likelihood of strikes, lockouts, and disruptions - It leads to **higher productivity**, since a cooperative work environment enables smoother operations - It **reduces conflicts** between labor and management by providing structured mechanisms for resolving disagreements - It contributes to overall **economic and social stability**, since large-scale industrial unrest can affect the broader economy

Industrial Disputes

An industrial dispute is a **conflict or difference of opinion between employers and employees** (or their respective representative bodies) related to employment terms, conditions of work, or the rights and obligations of either party. Common manifestations of industrial disputes include: - **Strikes** — A collective, organized refusal by employees to work, used as a pressure tactic to get demands met. - **Lockouts** — The employer's counter-action of temporarily closing down the workplace (or refusing to allow employees to work) to pressure employees/unions to accept certain terms.

Collective Bargaining

Collective Bargaining is the **process of negotiation between an employer (or employer's association) and a group of employees (usually represented by a trade union)** to determine the terms and conditions of employment — such as wages, working hours, and working conditions — through mutual agreement rather than unilateral decision-making.

Key features: - It is a **negotiation process**, not a one-sided decision - It results in a **collective agreement**, binding on both parties for an agreed period - It helps balance the interests of both management (efficiency, cost control) and employees (fair treatment, better conditions)

Grievance Handling Machinery

A grievance is any form of **discontent or dissatisfaction, whether expressed or not, arising out of anything connected with the employee's job** that they believe to be unfair. Grievance Handling Machinery refers to the **formal system/procedure established within an organization for employees to raise, escalate, and resolve their grievances** in a structured and timely manner.

Common approaches to grievance handling: - **Open Door Policy** — Employees can directly approach senior management with their grievances, without needing to go through multiple formal layers. Works well in smaller organizations but can become impractical at scale. - **Step-Ladder (Grievance Procedure) System** — A structured, multi-step process where grievances move progressively

up the hierarchy if unresolved at each level: 1. Employee raises the grievance with the immediate supervisor 2. If unresolved, it goes to the department head 3. If still unresolved, it goes to the HR/Grievance Committee 4. As a final step, it may go to top management or, in unionized settings, to arbitration

A well-designed grievance handling system helps resolve issues before they escalate into larger industrial disputes, reinforcing the overall importance of sound Industrial Relations.

Exam tip: “Explain the grievance handling procedure” is a common 6-mark question — describe the step-ladder system with all levels clearly numbered.

Quick Revision Summary

Topic	One-line takeaway
Career stages	Exploration → Establishment → Mid-career → Late-career → Decline
Succession planning	Identifying and developing internal talent for future key roles
Job evaluation	Determines relative worth of jobs (not the job-holder's performance)
Job evaluation methods	Ranking, job classification, point method, factor comparison
Compensation objectives	Internal equity, external equity, attract & retain talent, motivate performance
Compensation components	Base pay, incentives, fringe benefits
Wage theories	Subsistence (Ricardo), Wage Fund (Smith/Mill), Bargaining (Davidson)
Wage Board	Tripartite body (govt + employer + employee reps) recommending industry wage structures
Factors influencing wages	Demand-supply, cost of living, ability to pay, prevailing rates, law, productivity
Industrial Relations	Relationship between employer, employee, and government
Industrial disputes	Conflicts manifesting as strikes (employee) or lockouts (employer)
Collective bargaining	Negotiation between employer and union to set employment terms
Grievance handling	Open door policy or step-ladder procedure to resolve employee complaints